

The position of this company on June 30, 1933, was evidently much less comfortable than a year before, and, judged by the usual standards, it might appear somewhat overextended. But in this case the increase in payables represented a return to the normal practice in the vegetable-oil industry, under which fairly large seasonal borrowings are regularly incurred to carry grain and flaxseed supplies. Upon investigation, therefore, the analyst would not consider the financial condition shown in the 1933 balance sheet as in any sense disturbing.

Contrasting examples on this point are supplied by Douglas Aircraft Company and Stokely Brothers and Company in 1936–1938.

A Working-Capital Comparison (000 omitted)

Item	Stokely Brothers and Company			Douglas Aircraft Company		
	May 31, 1936	May 31 1937	May 31, 1938	Nov. 30, 1936	Nov. 30, 1937	Nov. 30, 1938
Current assets:						
Cash and receivables	\$2,274	\$2,176	\$1,827	\$2,885	\$ 2,559	\$4,673
Inventories	5,282	7,323	6,034	6,392	12,240	4,084
Total	\$7,556	\$9,499	\$8,861	\$9,277	\$14,749	\$8,757
Current liabilities:						
Notes payable	\$2,000	\$2,000	\$2,500	\$1,390	\$ 5,230	
Other	1,527	1,286	1,320	1,179	3,183	2,129
Total	\$3,527	\$3,286	\$3,820	\$2,569	\$ 8,413	\$2,129
Bank loans due 1–3 years		3,000	3,000			
Total current liabilities						
plus 1–3 year notes	3,527	6,286	6,820	2,569	8,413	2,129
Net earnings for year	1,382	353(d)	713(d)	976	1,082	2,147

The situation in Douglas Aircraft in 1937 was not a seasonal matter, as in the case of Archer-Daniels-Midland, but grew out of the receipt of certain types of orders requiring considerable working capital. Upon inquiry the investor could have satisfied himself that the need for bank accommodation was likely to be temporary and that, in any event, the new business was sufficiently profitable to make any necessary financing an easy affair. The Stokely picture was quite different, since the large current